

# Customer Retention & Churn Analysis for Croma

*Transforming Raw Data into Actionable Insights*

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# Customer Retention Analysis

## **Key Finding 1: High Customer Churn**

- Around 74% of customers have not made a recent purchase
- Only about 26% remain active customers
- Customer retention appears to be a larger issue than customer acquisition

## **Key Finding 2: Loyalty Tier Impacts Retention**

- Bronze customers show the highest churn rate
- Gold and Platinum customers are more likely to remain active
- Higher loyalty tiers contribute more revenue per customer

## **Key Finding 3: Loyal Customers Buy More Frequently**

- Active customers place more orders than churned customers
- Churned customers still visit the platform but purchase less often
- Purchase frequency is a stronger indicator of loyalty than website activity

## **Business Conclusion**

- The company is losing a significant number of customers after initial purchases
- Increasing repeat purchases should be the primary business focus

## **Suggested Visuals**

- Active vs Churned Customer Pie Chart
- Churn Rate by Loyalty Tier
- Revenue by Loyalty Tier

# **STRATEGIC ACTION POINTS**

## **Quick Wins (0–1 Month)**

### **1. Target Bronze Customers**

- Send personalized offers to Bronze-tier customers
- Encourage second purchases through discounts or loyalty rewards

### **2. Win-Back Campaigns**

- Identify customers inactive for long periods
- Run email and SMS campaigns with limited-time offers

### **3. Improve Repeat Purchases**

- Recommend complementary products after purchase
- Provide incentives for returning customers

## **Medium-Term Actions (1–3 Months)**

### **1. Strengthen Loyalty Program**

- Make tier progression easier and more rewarding
- Introduce exclusive benefits for Gold and Platinum members

### **2. Customer Monitoring**

- Track customers approaching churn-risk periods
- Create retention-focused customer segments

## **Long-Term Actions**

### **1. Predictive Retention System**

- Develop churn prediction models
- Trigger automated retention campaigns

### **2. Customer Lifetime Value Strategy**

- Focus marketing spend on high-value customers
- Reduce acquisition spending on low-retention segments

# **METHODOLOGY & FRAMEWORK**

## **Data Used**

- Transactions Dataset
- Customers Dataset
- Products Dataset
- Campaigns Dataset
- Website Events Dataset

## **Data Preparation**

- Removed missing and invalid records
- Joined customer, transaction, product, and campaign data
- Created customer-level metrics

## **Analysis Performed**

### *1. Retention Analysis*

- Measured active and inactive customers
- Calculated churn percentages

### *2. Loyalty Analysis*

- Compared retention across loyalty tiers
- Analyzed revenue contribution by customer segment

### *3. Customer Behaviour Analysis*

- Purchase frequency
- Revenue per customer
- Website engagement

## **Assumptions**

- Customers inactive for more than 180 days were treated as churn-risk customers
- Revenue used as a measure of customer value
- Website sessions used as an engagement indicator

## **Tools Used**

- Python
- Pandas
- NumPy
- Streamlit
- Plotly